

Bloom Energy (NYSE: BE)

Analyst: Kenneth Kim

On-site power in 3–9 months, while new grid connections take about five years

STOCK RATING	PRICE TARGET	PRICE (08/14/25)	UPSIDE
BUY	\$142	\$45.11	215%

BUSINESS OVERVIEW

Bloom Energy makes solid oxide fuel cells (SOFCs) and electrolyzers. It is the global SOFC leader. SOFCs run above 800°C, so Bloom's Energy Servers convert natural gas to hydrogen inside the unit. Other fuel-cell types need separate equipment for that step. Bloom sells servers (Product), maintains them (Service), installs them (Installation), and sells power under long-term PPAs (Electricity). While peers overexpanded and collapsed after 2021, Bloom focused on R&D and margins, and turned a GAAP operating profit in 2024 (\$23M, from a \$209M loss in 2023).

THESIS HIGHLIGHTS

Thesis 1: Speed to Power Is the Bottleneck for AI Data Centers

New U.S. power plants built in 2023 took a median of five years from interconnection request to operation, and gas-turbine makers are already booking orders for 2028 and beyond. A data center takes about a year to build, so developers are moving to on-site, off-grid power. Bloom installs SOFC servers in 3–9 months over the existing U.S. gas pipeline network, and has committed to power Oracle's data centers within 90 days. Its Be Flexible option ramps more than five times faster than legacy solutions, matching the sharp load swings of AI workloads.

Thesis 2: Built for Data Centers: Uptime, Water, and Cost

- **Uptime:** Servers are built from ~325 kW modules, so a fault takes one module offline, not the plant. Bloom reaches 99.99% uptime with about 10% extra capacity, while turbines or engines need two to three times the installed capacity.
- **Water:** Turbine plants need cooling water, while Bloom's servers use no water in normal operation. This matters as water limits tighten in Texas and the Middle East.
- **Cost:** Bloom's SOFCs reach about 60% electrical efficiency and up to 90% with CHP, versus about 40% for simple-cycle gas turbines. A 30% ITC offsets the higher upfront cost, and higher gas prices widen the efficiency advantage.

Thesis 3: Doubling Capacity Signals a Step Change in Sales

Bloom plans to double factory capacity from 1 GW to 2 GW by the end of 2026. The expansion costs about \$100M and needs no equity offering. The last expansion began when backlog passed 200 MW, and annual sales passed 200 MW two years later. By the same pattern, backlog now exceeds 1 GW and annual sales should pass 1 GW by 2027. At an estimated \$3.2M per MW, this supports a 55% revenue CAGR: \$3.0B in FY26 and \$4.7B in FY27. Gross margin rises to 32–34% as utilization climbs.

THESIS RISKS

Thesis Risk 1: Lumpy Revenue and Unchanged Guidance

Bloom recognizes revenue when customers take delivery and power on, so quarterly results swing widely. Despite new data-center contracts, 2025 guidance of \$1.65–1.85B was not raised in Q1 or Q2.

- **Mitigant:** Management expects more than 60% of 2025 revenue in the second half. First-half revenue of \$727M implies about \$1.82B for the year, near the top of guidance. Most projects under discussion with AEP and Oracle are greenfield sites that convert to revenue from late 2025.

Thesis Risk 2: Upfront Cost and Tax-Credit Timing

SOFC systems cost more upfront than turbines, and the fuel-cell investment tax credit lapsed at the end of 2024.

- **Mitigant:** The One Big Beautiful Bill Act restores the fuel-cell ITC from January 2026. Safe-harbor rules let Bloom claim it on projects already under construction, so management expects no gap in 2025. With the 30% credit and less spare capacity, the installed cost is roughly on par with turbines.

SECTOR

Energy Equipment

INDUSTRY

Fuel Cells, On-site Power

MARKET DATA

Ticker	BE
Exchange	NYSE
Market Cap	\$10.6B
Shares Outs.	234.0mm
52 Week Range	\$9.02–46.50

HISTORICAL PRICE ACTION



USD per share, daily close

MODEL (PEG)

FY26E Revenue	\$3.0B
FY26E Op. Income	\$540M
Revenue CAGR	55%
Target P/E (PEG 1.0)	55x
Peer check (GEV 70–80x)	\$194